



Pre-Approval vs. Pre-Qualification in the Home-Buying Process

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What is the difference between pre-qualification and pre-approval?

Some mortgage lenders don't differentiate between the pre-approval and the pre-qualification letter. For the most part, though, a pre-qualification indicates that the mortgage lender has spoken with a prospective home buyer and, based on that conversation, without any review of documentation or a mortgage credit report, will issue a pre-qualification letter that asserts that if the information provided can be validated and verified, the prospective client will be able to get a mortgage loan. On the other hand, a pre-approval means that the credit report and supporting documentation have been reviewed and, based on the review, the borrower has been approved to buy a house.

Why does a prospective homebuyer need a pre-approval or pre-qualification letter?

A home seller wants to make sure that the prospective homebuyer making an offer will actually be able to close on the property. Seeing a pre-approval letter assures the home seller that this is indeed the case. As such, most homebuyers request to see this letter prior to entering into a contract for sale and often even before accepting an offer.

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Tips for People Beginning the Home-Buying “Parsha”



Shop for Options

When looking for a preapproved loan, discuss the various options with your mortgage lender.

Having a competent and thorough mortgage lender who understands the unique challenges facing the frum buyer as a partner in this process is key. Understand the differences between programs and down payment options. Make sure to choose a reputable lender to avoid any situations where the lender simply cannot deliver the loan or the company has bad business practices. Make sure to find out if the lender is Jewish-owned or not. If he is Jewish, you will need to sign a Heter Iska. If you are buying a property in an area that you are unfamiliar with, ask a realtor for recommendations. You may also wish to visit the Better Business Bureau’s website at www.bbb.org to learn about the mortgage lender’s business reputation.



Prepare Your Financial Documents

Upon selecting your mortgage lender, the lender will inform you what financial documents you will need in order to prepare for the in-depth financial check it will perform. The financial check verifies the borrower’s income, assets and credit to ensure that the borrowers can make the necessary monthly mortgage repayments. Financial documents that may

be required for this procedure include:

- Bank statements
- Federal tax returns
- W2 or 1099 statements
- Recent pay slips
- Any investment income documents



Watch the Deadline

All preapproval letters have due-by dates. These dates vary between lenders but generally are

only valid for three months. This means that if you still have not found the property that is right for you, you will need to contact your lender to get an extension so that you can re-validate the pre-approved mortgage letter.



Watch Your Credit Score

It is possible for a loan inquiry to decrease your credit score.

However, this excludes any inquiries to your pre-existing student loan, automobile loan, or any property loan inquiries you made at least one month prior to that time. The good news is that if you have made multiple inquiries for new loans, they will only be calculated as one loan inquiry in your credit score thereafter.

In conclusion, buying a home is a process. The more informed you are and the earlier you begin the process can make a huge difference on your experience and successful outcome.

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